NFOs PROVIDE INVESTORS WITH FRESH INVESTMENT ALTERNATIVES AND ALLOW THEM TO PROFIT FROM IMMINENT MARKET CHANGES

actually gets to perform, it is often declared to be a great idea or a failure (see *Pros and Cons*). An NFO differentiates itself from existing schemes in the same category by showcasing the investment process it follows. This is like picking players in a cricket team based on a process rather than just the current form of the cricketer. No doubt that form is important, but so is the skill set and performance calibre. New AMCs have to launch new funds and they may do so based on their business plan and positioning

Illustration by SIDDHANT JUMDE

↘ EVALUATING AN NFO

Your prime reason to invest should be based on the new scheme's objective. While the fund may fall under the defined classification, it may focus on a theme or approach to investing based on tested models that provide unique ways to achieve the stated objective. The NFO should meet your needs and be aligned with the risk that you can take when investing.

Next, do check on the fund management team and their experience in running such schemes. While an NFO is new, the fund manager need not be. Often, the fund manager's approach and experience could tilt your investment decision in favour of an NFO instead of an existing similar scheme. Likewise, if you evaluate the performance of similar existing schemes, it may build the case to invest in an NFO instead of putting your money in existing schemes.

To know more specifics of the offering, do a deep dive into the offer document to understand how exactly the fund will be managed. Understanding the investment rationale, benchmark for comparison and target investment portfolios could indicate specific details on the operation of the new fund. These aspects come in handy for you to decide in favour of investing in an NFO or not.

Given that it is a new fund, you could also check its cost structure—minimum investment needed and exit loads—to act accordingly. When you are well-armed with information about the NFO, you can decide to invest in them or let go. Remember, not all NFOs are good or bad, as each one is introduced for a reason.

The prevailing market conditions are also a factor for NFOs to be launched. If you are a seasoned investor, you may avoid an NFO when the markets are heated. As an investor, you need to ask yourself why you are considering an NFO before investing. Just the way you do not buy a medicine to cure cough just because it has been introduced, you need not invest in an NFO just because it is being launched. Spend time evaluating your investment portfolio to understand the gaps it may have, which an NFO could address.

Sometimes, investors could also consider investing in an NFO to experience investing in a new and untested idea, as long as they understand the associated risk. In the end, the decision to invest in an NFO should be anchored to multiple factors, and not based solely on someone's opinion. ■

-Narayan Krishnamurthy

PROS	CONS
• Provides an investment opportunity to participate in a new idea or category	• Don't have a performance track record or history
• When investing through SIPs, their low price allows you to accumulate more units	• Cannot be compared to existing fund schemes
• Allows you to invest in a new AMC under a team that you may associate with	• Launch timing may or may not be conducive for investment
	• Cost structure of NFOs is high at the start compared to that of existing funds